# STATEMENT OF ADVICE

## Financial Planning Strategy

***Prepared for:***

Ms Myra Billson

Of

2 Mainsail Place

Martha Cove

SAFETY BEACH VIC 3936

***Prepared on:***

**29th May 2017**

***By your Adviser:***


***Andrew Lord*** *B Bus (Acc), Dip FS (Fin Plan)*

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**What this document is about**

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

**What to do after reading this Statement of Advice**

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

29/05/2017

Ms Myra Billson
2 Mainsail Place
Martha Cove
**Safety Beach VIC 3936**

Dear Myra,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

**Andrew Lord**
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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## Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

***Timeframe for our advice***

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

***Check for accuracy***

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

***Limitations of our advice***

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

## Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

***Product selection***

We are committed to giving you the best products for your situation. When preparing your advice we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

# Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

## The Scope of Our Advice

In this statement of advice, the main focus is on:

- Structure of investment assets

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

## Our Investment Recommendations

In respect of the specific investments we recommend as part of our advice you are entitled to a 14 day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

## Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

## The Planning Process

Myra, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

# Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

## Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Invest your existing surplus funds under a structure that provides you with an annual tax effective income of $50,000 to $60,000.
- Preserve your existing capital.

## Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

### Personal Details

| | |
|---|---|
| Title | Ms |
| First Name | Myra |
| Surname | Billson |
| Gender | F |
| Date of Birth | 19/09/1939 |
| Age Last Birthday | 77 |
| Marital Status | Divorced |

### Employment Details

| | |
|---|---|
| Employment Status | Retired |

### Estate Planning

| | **Myra** |
|---|---|
| Do you have a Current Will? | Yes |
| Do you have Current Powers of Attorney? | Yes |
| Do you have a Testamentary Trust? | No |

## Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

**ASSETS**

| Lifestyle Assets | Value |
|---|---|
| Residential Home | $830,000 |
| **Total Lifestyle Assets** | **$830,000** |

| Investment Assets | |
|---|---|
| Cash | $783,000 |
| **Total Investment Assets** | **$783,000** |

| Superannuation Assets | |
|---|---|
| Nil | $0 |
| **Total Superannuation Assets** | **$0** |

| | |
|---|---|
| **Total ASSETS** | **$1,613,000** |

**LIABILITIES**

| | |
|---|---|
| Nil | $0 |
| **Total Liabilities** | **$0** |

| | |
|---|---|
| **NET WORTH** | **$1,613,000** |

**Notes:** As the above information has been used in preparing our recommendations please advise us of any errors or omissions.

The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

## Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Based upon your answers to the Investor Risk Profile questionnaire, it was determined that you can be classified as a **Growth** investor.

Typically, a **Growth** investor has the following characteristics:

- A Growth investor places greater emphasis on capital appreciation with current income and asset preservation being of a secondary concern.
- This requires an investments time horizon of between 5 – 7 years.
- Their portfolio would typically comprise an overweight holding in shares and property with a small exposure to income bearing securities such as cash and fixed interest.

A **Growth** investor will typically diversify their investment in the following manner:

| | |
|---|---|
| Australian Shares | 43% |
| International Shares | 25% |
| Fixed Interest | 13% |
| Property | 17% |
| Cash | 2% |

In light of your age and preference to preserve your capital whilst generating sufficient cash flow, we suggest that a **Balanced** asset allocation should be considered for future investments.

Typically, a **Balanced** investor has the following characteristics:

- The Balanced investor will typically operate a portfolio evenly split between interest bearing securities and growth oriented investments.
- An exposure to a range of investment sectors including cash, fixed interest, property and shares ensures the portfolio is “truly” balanced.
- Investors are typically comfortable with a variability of their capital over a 5 year horizon while their portfolio builds a growing income stream and capital growth.

A Balanced investor will typically diversify their investment in the following manner:

| | |
|---|---|
| Australian Shares | 34% |
| International Shares | 20% |
| Fixed Interest | 26% |
| Property | 14% |
| Cash | 6% |

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property).

By covering all primary investment markets the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth. Any recommendation will be based on your risk tolerance, while in balance with your goals and objectives.

## Strategy Recommendation

## Investments Currently Outside of Superannuation

Myra, you currently have the following investments in your personal name:

| | |
|---|---|
| Cash | $783,000 |

- You seek advice with respect to the most appropriate investment vehicle for these funds.
- You wish to generate an annual income of $50,000 to $60,000 to satisfy living expenses and one overseas trip per year.

**Recommendation:**

- Invest **$234,900** into a Challenger Guaranteed Annuity (Liquid Lifetime), issued by Challenger Life Company Limited (Challenger) with the details and features on the following page.
- Commence a Colonial First Choice Wholesale Investment Fund with **$548,100** to be invested in a diverse portfolio with a focus on income via distributions.

## Asset Allocation

Based on a **'Balanced'** portfolio we would suggest that the funds be invested in the following manner:

| Investment | Asset Class | Amount | % of Total Portfolio | Benchmark | Deviation |
|---|---|---|---|---|---|
| Challenger Annuity | Fixed Interest | $234,900 | 30% | 26% | **+4%** |
| CFS WS Managed Fund | Cash | $ 39,150 | 5% | 6% | **-1%** |
| | Aus Equities | $266,220 | 34% | 34% | **0%** |
| | Property | $109,620 | 14% | 14% | **0%** |
| | Int Equities | $133,110 | 17% | 20% | **-3%** |
| | | **$783,000** | **100.00%** | **100%** | |

## Challenger Guaranteed Annuity (Liquid Lifetime)

We recommend that you invest into a Challenger Guaranteed Annuity (Liquid Lifetime), issued by Challenger Life Company Limited (Challenger) with the following details and features.

| | Details |
|---|---|
| Ownership | Myra Billson |
| Superannuation money | No |
| Investment amount | $234,900 |
| Regular payment* | $1,174.50 p.m. ($14,094 p.a.) |
| Indexation | Nil |
| Frequency of payments | Monthly |
| Policy term | Lifetime |
| Benefit reduction | No reduction |
| Liquidity option | Regular Income |
| Withdrawal guarantee | 55% |
| Withdrawal period | 15 years |

* The regular payment amount is based on a quote obtained from Challenger as at 22/05/17 which is current for 14 days from that date. A new quote will be required if you invest after this date. A copy of the quote is attached as an appendix to this Statement of Advice.

The Challenger Guaranteed Annuity (Liquid Lifetime) is recommended because it:

- provides you with guaranteed regular payments for your lifetime
- can reduce your assessable assets for Centrelink purposes as the annuity's assessable value reduces from 100% of the investment amount to nil over your life expectancy
- can reduce your assessable income for tax purposes due to part of your regular payments not being included as assessable income
- provides returns that are competitive to alternative fixed interest investments such as term deposits
- is a secure investment, with protections through the annuity being issued through the Challenger statutory fund and APRA regulation of Challenger
- allows you to withdraw from the annuity as a lump sum within the 15-year withdrawal period if your needs change (this may be less than the full amount invested)
- provides a guaranteed withdrawal amount of $129,195 if you fully withdraw from the annuity at the end of the withdrawal period
- provides a guaranteed withdrawal benefit on death if you pass away within the withdrawal period. In your case this is recommended to be selected at 55% of your initial investment amount. As this is less than 100%, your withdrawal benefit reduces uniformly each month from 100% to 55% during the withdrawal period. Please refer to the attached quote for an illustration of the amount payable during the withdrawal period

**How the annuity works**

We have recommended that you invest $234,900 into the Challenger Guaranteed Annuity (Liquid Lifetime) with a withdrawal guarantee of 55% at the end of the withdrawal period.

Your regular payments are determined at the start of the annuity and Challenger will make those payments for your lifetime. This provides you with greater certainty and removes some of your longevity risk.

We recommend you select monthly payments to best suit your cash management and budgeting requirements.

You have the flexibility to cancel the annuity at any time during the withdrawal period. The withdrawal value is calculated at the time of withdrawal and is based on a range of factors. If you cancel at the end of the withdrawal period you will receive 55% of the initial capital you invested. In your case you will receive $129,195. If you withdraw during the withdrawal period you may receive less back than you invested, even after taking into account the payments you have received, and your annuity payments will cease. You cannot withdraw after the withdrawal period ends.

**Assessable income for Centrelink[1]**

A portion of income received each year is not assessable. This non-assessable portion is calculated as the amount you invest divided by your current life expectancy (using life tables). This is shown in the following table:

| | Your details |
|---|---|
| Investment amount | $234,900 |
| Life expectancy | 13 years |
| Annual annuity payment in year 1** | $14,094 |
| - Non-assessable portion | $14,094 |
| - Assessable portion | $0 |

** The annual annuity payment is based on a quote obtained from Challenger as at 22/05/17 which is current for 14 days from that date. A new quote will be required if you invest after this date. A copy of the quote is attached as an appendix to this Statement of Advice.

This means none of the income you will receive in year 1 from the Guaranteed Annuity (Liquid Lifetime) is assessable income and may help to increase pension eligibility under the income test. This compares favourably to a cash account, term deposit or other investment which will typically have "deemed" income assessed under the income test. As your annuity payment is not indexed the assessable amount will remain the same for the duration of the investment.

**Centrelink assets test[1]**

Under the Centrelink/DVA assets test, the asset value of the annuity will reduce every six months (unless payments are received annually where the asset value reduces annually).

Every six months your assessable asset value will reduce by $9,525.55 until the asset value reduces to nil after 13 years. An example of how this works (annually) over the first three years is shown below.

| | Assessable asset value |
|---|---|
| At commencement | $234,900.00 |
| After 12 months | $215,848.91 |
| After 2 years | $196,797.82 |
| After 3 years | $177,746.73 |

This reducing asset value may help to increase pension eligibility under the assets test over time. This compares favourably to a cash account, term deposit or other investment which may include the full account balance.

[1] *Treatment current as at 29/05/17*

**Taxation impact**

The regular payment you receive each year may be included in your assessable income and subject to tax at marginal tax rates plus applicable government charges.

Based on the quote provided we estimate that the assessable amount will be $0 in year 1. The full $14,094 is not included in your taxable income and it is considered to be a return of capital. As your annual payments are not indexed those amounts will remain unchanged whilst the policy remains inforce.

If you voluntarily end the annuity within the withdrawal period and receive a lump sum the amount repaid will be made up of a capital component (which represents a return of your capital) and an income component. The capital component represents a return of your remaining capital (your original amount invested less capital paid to you as part of each regular payment) and, as such, is tax free. The amount repaid that is in excess of the capital component is considered to be assessable income in the year that it is received. This amount is then added to your assessable income for the relevant year and taxed at your marginal tax rate plus applicable government charges.

**Security of your investment**

Challenger is regulated under the Life Insurance Act 1995 (Cth) (Life Act) (which governs the provision of annuities in Australia) and the prudential standards made under it, which prescribe minimum capital and solvency requirements for Challenger as well as for the annuity business it writes.

The Australian Prudential Regulation Authority (APRA) actively supervises Challenger's compliance with these requirements to ensure that Challenger is able to meet its obligations to investors. For example, Challenger is required to hold enough capital to withstand a 1 in 200-year shock event.

Even so, unforeseen and extreme circumstances that might impact Challenger's ability to make payments to you can never be completely ruled out.

Further information can be found in the Challenger Guaranteed Annuity (Liquid Lifetime) Product Disclosure Statement (PDS) at www.challenger.com.au.

**Comparison to other investment options**

We have compared the impact of the Challenger Guaranteed Annuity (Liquid Lifetime) to an investment in a cash account or term deposit. The comparative advantages of the annuity are shown in the table below:

| | Guaranteed Annuity | Cash/term deposit |
|---|---|---|
| Payments | Determined at the start which allows for income certainty | May be variable over time which leads to income volatility |
| Length of income | Guaranteed for life | The length of the term deposit or until the cash account balance runs out |
| Assessable income<br>• Centrelink/DVA<br>• Taxation of regular payments<br>• Taxation of a withdrawal | <br>• Nil<br>• Nil<br>• A portion is taxable | <br>• Deeming rules<br>• Actual income is taxable<br>• Tax-free |
| Centrelink/DVA asset assessment | Reducing value | Account balance |
| Security | Regulated by APRA | May be guaranteed by the Government |
| Liquidity | • Can be withdrawn during the withdrawal period | Can be withdrawn |
| Amount payable on death | • Death benefit payable during the withdrawal period, please refer to the quote for a detailed breakdown | Account balance |

**Disadvantages of the Guaranteed Annuity**

All investment strategies contain both advantages and disadvantages. The important potential risks that may arise from adopting the recommendation to invest in a Challenger Guaranteed Annuity (Liquid Lifetime) include:

- Once commenced, you are unable to change the terms and conditions or regular payments.
- If you pass away during the withdrawal period a withdrawal benefit will be paid but this may be less than the amount you invested.
- If you end the annuity during the withdrawal period a withdrawal benefit will be paid but this may be less than the amount you invested, even after taking into account the payments you have received.
- If you end the annuity during or at the end of the withdrawal period, some or all of your withdrawal benefit may be assessable income for tax purposes
- The annuity cannot be withdrawn after the withdrawal period has ended, however, the regular payments will continue for your life.
- The regular payments are not indexed and over time the purchasing power may decline due to the effect of inflation.
- Legislation may change in the future which can impact on how this annuity is assessed for Centrelink/Veterans' Affairs and taxation.

## Colonial First Choice Wholesale Investment

We recommend the remaining funds to be invested in a tailored portfolio within the Colonial First Choice Wholesale Investments Platform. The specific underlying funds recommended below have been selected based on:

- Providing an overall 'Balanced' portfolio
- An emphasis on funds whose aim is to provide income (via distributions), together with capital growth
- Diversification within asset classes
- Provision of 1 year's living expense requirements within the Cash account (after accounting for income received from the Challenger Annuity

The specific underlying funds that make up this portfolio would be:

| Asset Class | % of Portfolio | Value |
|---|---|---|
| BT Wholesale Core Australian Share | 14.00% | $76,734 |
| Perennial Wholesale Value Australian Share | 14.00% | $76,734 |
| CFS Index Australian Share | 20.00% | $109,620 |
| CFS Index Global Share | 10.00% | $54,810 |
| Realindex Global Share | 14.00% | $76,734 |
| BT Wholesale Property Investment | 10.00% | $54,810 |
| CFS Index Property Securities | 10.00% | $54,810 |
| CFS Wholesale Cash Fund | 8.00% | $43,848 |
| | **100%** | **$548,100** |

**Benefits:**

- Your funds will be invested in a manner that aims to provide you with sufficient income
- The Colonial Platform offers flexibility in terms of offering access to in excess of 100 underlying funds that can be incorporated into your portfolio
- The underlying funds are actively managed by a diverse range of fund managers
- You will receive ongoing advice and reporting

## Cash Flow

Based on the guaranteed payment of **$14,094 p.a.** from the Challenger Annuity and average income distributions over the past 5 years from the underlying managed funds within the Colonial Managed Fund totalling **$20,647** your projected income is anticipated to be in the order of **$34,741 p.a.**

As such, in order to generate an in income of (say) **$55,000 p.a.** without eroding any of your capital, the managed fund portfolio would need to achieve capital growth of **$20,249 p.a**. This equates to a **capital growth of 3.69%** on a $548,100 portfolio.

The capital growth rate required will reduce at Year 5 when you may be eligible for a part Age Pension which would provide additional income as per the Age Pension calculations provided at the rear of this Statement of Advice.

The historical performance^ of the proposed portfolio is detailed in the table below:

| Fund | 1 year | 3 years | 5 years | Since inception | Inception date |
|---|---|---|---|---|---|
| **BT Wholesale Core Australian Share** | **16.78%** | **7.22%** | **10.19%** | **7.59%** | 23/04/2002 |
| *Distribution Return* | *10.73%* | *5.11%* | *4.16%* | *4.73%* | |
| *Growth Return* | *6.05%* | *2.11%* | *6.04%* | *2.85%* | |
| **Perennial Wholesale Value Australian Share** | **17.62%** | **5.40%** | **9.16%** | **7.62%** | 25/04/2004 |
| *Distribution Return* | *6.34%* | *3.58%* | *3.41%* | *4.36%* | |
| *Growth Return* | *11.28%* | *1.82%* | *5.75%* | *3.26%* | |
| **CFS Index Australian Share** | **19.14%** | **6.40%** | **9.93%** | **7.47%** | 13/07/2004 |
| *Distribution Return* | *4.27%* | *3.51%* | *3.61%* | *6.01%* | |
| *Growth Return* | *14.87%* | *2.88%* | *6.32%* | *1.45%* | |
| **CFS Index Global Share** | **14.22%** | **11.44%** | **15.06%** | **3.00%** | 13/07/2004 |
| *Distribution Return* | *0.78%* | *1.04%* | *1.15%* | *1.33%* | |
| *Growth Return* | *13.44%* | *10.40%* | *13.92%* | *1.67%* | |
| **Realindex Global Share** | **18.05%** | **9.73%** | **13.27%** | **8.29%** | 17/11/2008 |
| *Distribution Return* | *20.01%* | *12.56%* | *8.51%* | *5.27%* | |
| *Growth Return* | *-1.97%* | *-2.83%* | *4.76%* | *3.02%* | |
| **BT Wholesale Property Investment** | **5.78%** | **15.06%** | **15.02%** | **5.85%** | 23/04/2002 |
| *Distribution Return* | *3.60%* | *3.62%* | *3.14%* | *6.90%* | |
| *Growth Return* | *2.18%* | *11.45%* | *11.87%* | *-1.05%* | |
| **CFS Index Property Securities** | **5.25%** | **15.64%** | **15.83%** | **3.70%** | 13/07/2004 |
| *Distribution Return* | *2.21%* | *3.83%* | *3.65%* | *6.90%* | |
| *Growth Return* | *3.04%* | *11.81%* | *12.17%* | *-3.21%* | |

^ Performance figures are net of MER for the managed fund options as at 31/03/17.

## Colonial FirstChoice Wholesale Investments

The FirstChoice Investments is a multi-manager investment solution which combines wide investment choice with a competitive and simple fee structure, backed up by a high standard of service support from Colonial First State.

A minimum total investment of $5,000 ($1,500 for super) is required to establish an account in FirstChoice Investments. A $1,000 minimum initial balance is required if a regular investment plan is set up at commencement of the account. The minimum regular investment plan amount is $100 per month.

**Reasons and Benefits**

The major features of the Colonial FirstChoice Investments are as follows:

<u>Sector Specific Diversification</u>

A strong range of investment options with access to more than one specialist manager within each asset class. This approach captures the competitive advantages of each manager. We anticipate this will provide higher returns than can be obtained from using diversified funds with, say, only one fund manager.

<u>Simplicity</u>

Consolidated reporting from Colonial First State.

<u>Ease of Management</u>

Automatic investment re-balancing and switching to help you easily and conveniently keep your investment strategies on track.

- We recommend that annual automatic rebalancing is elected.

<u>Highly competitive and simple to understand fee structure</u>

- No entry fee applies to this investment however, with your agreement; your Financial Adviser may wish to charge a one off fee for upfront costs.
- You can agree with your Financial Adviser to have an ongoing Adviser Service Fee for advice paid directly from your investment. The ongoing fee will be deducted monthly from your investment options.
- No switching fees or exit fees apply to this investment.

## Colonial FirstChoice Management Fee

Colonial FirstChoice charges a Management Expense Ratio to cover their administration costs and the associated costs of managing your funds. Based on your proposed portfolio value, we have provided an estimation of the costs you will pay.

| Colonial FirstState FirstChoice Investments | MER % | Amount invested ❶ $ | Estimated fee $ |
|---|---|---|---|
| BT Wholesale Core Australian Share | 1.01% | $76,734 | $775 |
| Perennial Wholesale Value Australian Share | 1.02% | $76,734 | $783 |
| CFS Index Australian Share | 0.41% | $109,620 | $449 |
| CFS Index Global Share | 0.53% | $54,810 | $290 |
| Realindex Global Share | 0.78% | $76,734 | $598 |
| BT Wholesale Property Investment | 1.06% | $54,810 | $581 |
| CFS Index Property Securities | 0.41% | $54,810 | $225 |
| CFS Wholesale Cash Fund | 0.41% | $43,848 | $179 |
| **Total ongoing fees❶** | **0.71%** | **$548,100** | **$3,880** |

❶ Colonial FirstChoice's Management Fee is calculated on the value of your total portfolio. As such we have used your proposed portfolio to estimate your annual ongoing fee.

## What is paid to your adviser

### Plan Fee

You have agreed to a fixed fee of $5,000+GST p.a. for implementation and ongoing management of your investment portfolio. The preparation and presentation of this Statement of Advice is included within this fee.

The fee for the first year is incorporated within the Challenger Annuity quote provided.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

## Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

**Cooling-off periods**

After investing in a financial product, you have a "cooling-off" period in which to change your mind if you don't think the product meets your needs. The cooling-off period usually starts when you're told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

**No guarantee**

The investments we recommend for you must be appropriate for you. However, we don't guarantee they're the best available or that they'll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

**Tax**

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

## Are My Product Recommendations Restricted?

*Non Superannuation Products*

Yes, when making non superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

*Superannuation Products*

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

**What is My Responsibility to You?**

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third party persons acting on all or on a part of any advice or recommendations made in this SoA.

**Do I Guarantee the Investments I have recommended?**

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

**Your Financial Plan**

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

**Next steps**

**How to get started**

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements
- Contact us if you have any questions
- Tell us immediately if any information is incorrect
- Complete the application forms in the Product Disclosure Statements
- Sign and date the Authority to Proceed
- Return the forms to us
- Retain a copy for your records

**Finally**

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended, however, you will need to study the investment statements of the recommended products carefully before you decide to invest.

## Authority to Proceed

I, Myra Billson, of
2 Mainsail Place
Martha Cove
**Safety Beach VIC 3936**

State that:

I have read and understood the Financial Plan presented to me by **Andrew Lord** B Bus (Acc), Dip FS (Fin Plan) from Pareto Group Pty Ltd, and authorise him to proceed with the recommendations as outlined below:

| Investment | Amount |
|---|---|
| Colonial FirstChoice Wholesale Investment | $548,100 |
| Challenger Guaranteed Annuity (Liquid Lifetime) | $234,900 |

All fees and charges have been explained to me.

I authorise **Andrew Lord** B Bus (Acc), Dip FS (Fin Plan) to act in his capacity as our Financial Adviser regarding this investment and to act on our instructions provided by (tick whichever is applicable):

- ❑ Facsimile
- ❑ Email
- ❑ Writing

I acknowledge that:

- ➢ I have received and read a Financial Services Guide.
- ➢ I have provided all information to the best of my knowledge for the preparation of this Statement of Advice.
- ➢ My adviser is not a taxation adviser, and estimates of tax positions are estimates only. We should seek advice from a registered tax agent for taxation advice.

❑ I accept the recommendations made in this Report and give authority to Pareto Group Pty Ltd ABN 11 155 278 078 to proceed with the implementation of those recommendations.

**Modifications to recommendations requested by client**

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Signed: ____________________________________ ________/______/_______

**Myra Billson** Date

Signed: ____________________________________ ________/______/_______

**Andrew Lord** Date

B Bus (Acc), Dip FS (Fin Plan)

# Appendix A – Challenger Guaranteed Annuity Quote & Calculations

# Appendix B – Fund Profiles

# Appendix C – Lonsec Reports